

tion on the part of the testator. It is only as respects any *surplus* personal estate after payment of debts that the executor ought to regulate his administration by the directions of the will. A devise, however, of *real estate* for payment of debts is in all cases unimpeachable, for the statutes that have avoided devises as against specialty creditors (*a*), and now as against simple contract creditors (*b*), have expressly excepted devises for payment of debts.

3. Trust created by act *inter vivos* attended with fraud. —

As to trusts created by act *inter vivos*, a trust for payment of debts will in all cases be void, if vitiated by *actual fraud*, as if the debtor by an understanding between him and his trustees be left in possession of the estate so as to obtain a fictitious credit (*c*).

(*a*) 11 G. 4 & 1 W. 4, c. 47.

(*b*) 3 & 4 W. 4, c. 104.

(*c*) *Twyne's case*, 3 Rep. 80 a; *Wilson v. Day*, 2 Burr. 827; *Hungerford v. Earle*, 2 Vern. 261; *Tarback v. Marbury*, 2 Vern. 510; *Law v.*

Skinner, W. Bl. 996; and see *Worseley v. De Mattos*, 1 Burr. 467; *Stone v. Grantham*, 2 Buls. 218; *Pickstock v. Lyster*, 3 M. & S. 371; *Dutton v. Morrison*, 17 Ves. 197.

and execution; *Green v. Kornegay*, 4 Jones Law, 66; 67 Am. Dec. 261. A *bona fide* trust deed to secure future advances may be valid; *Wilson v. Russell*, 13 Md. 495; 71 Am. Dec. 645. Misconduct of trustee in not selling trust property cannot affect the creditors or impair their rights; *Carter v. Neal*, 24 Ga. 346; 71 Am. Dec. 136. An assignee of the trustee will be compelled to execute the original trust at the instance of the cestui que trust; *Pierce v. McKeehan*, 3 Pa. St. 136; 45 Am. Dec. 635. A vendor selling land and not receiving all the purchase-money will become a trustee, and if he is insolvent at any time his interest therein passes to his assignee; *Swepson v. Rouse*, 65 N. C. 34; 6 Am. Rep. 735. A trust in favor of an insolvent may be enforced in equity by the beneficiary against the trustee; *Baker v. Evans*, *Winston's Eq.* 109; 86 Am. Dec. 456; *Ferguson v. Haas*, 64 N. C. 778.

Any balance remaining after the payment of debts goes to the assignor; *Stevens v. Earles*, 25 Mich. 41; *Hall v. Denison*, 17 Vt. 311. Any hostile creditors may resort to a trustee process or its equivalent; *Hastings v. Baldwin*, 17 Mass. 558; *Todd v. Bucknam*, 2 Fairf. 41. A deed absolute on its face may create a trust; *Campbell v. Dearborn*, 109 Mass. 130. Corporations may receive deeds of trust; *Wright v. Bundy*, 11 Met. 398; *Fogarty v. Sawyer*, 23 Cal. 570; *Wilson v. Troup*, 7 Johns. Ch. 25; *Smith v. Doe*, 20 Miss. 291.

Acceptance of trust may be shown by parol; *Field v. Arrowsmith*, 3 Humph. 442; *Brevard v. Neely*, 2 Sneed, 164. A trust to secure bondsmen is good; *Roden v. Jaco*, 17 Ala. 344. Statutes regulate powers, but do not create them; see *Richmond v. Hughes*, 9 R. I. 228; *Elliott v. Wood*, 45 N. Y. 71.